From the above chart, you will notice that other than income, people seek freedom to grow on their own. Thus, development refers to the improvement in quality of life such as higher income, better education, better health and nutrition, less poverty and more equal opportunity.

The term 'economic development' refers to the overall growth of all sectors of the economy by adoption of new technologies. Economic development improves the living standards of the people as well as the status of the country.

## 1.2 Indicators of Economic Development

The major indicators to measure the level of economic development are Net National Product (NNP), Per Capita Income (PCI), Purchasing Power Parity (PPP) and Human Development Index (HDI).




**Final money value of total goods and services produced within the geographic boundaries of a country during a specified period of time, normaly a year is known as Gross Domestic Product (GDP).**

### Net National Product

The Net National Product (NNP) is considered as a true measure of national output. It is also known as national income. A rise in per capita income means an increase in aggregate real output. Hence, this is a better indicator than national income for measuring development.

For measuring a country's development, its income is considered to be one of the most important factors. Countries with higher income are considered to be more developed than those with lesser income. So, income itself is considered to be one of the indicators of economic development.

### Per Capita Income

However, for comparing the development of various countries, total income is not satisfactory measure. Since countries have different populations, comparing total income will not be suggestive of what an average person is likely to earn, as people in one country are better off than others in a different country? The average income is calculated by dividing the country's total income by its total population. The average income is also called per capita income. Calculations on the per capita income of all countries are calculated only in the US dollar in order to compare International level.

**Per Capita Income**




**According to the World Bank report, new income measurements of countries are classified as below (2017–18)**

| S. No. | Types of Countries | Per Capita Income (US Dollar) |
|---|---|---|
| 1 | Low Income | < 1005 |
| 2 | Lower Middle Income | 1006–3955 |
| 3 | Upper Middle Income | 3956–12,235 |
| 4 | High Income | > 12,235 |

**Source: www.worldbank.org**

### Purchasing Power Parity

Purchasing power parity is defined as the number of units of a country's currency required to buy the same amount of goods and services in the domestic market as one dollar would buy in the US.

The technique of purchasing power parity allows us to estimate what exchange between two currencies is needed to express the accurate purchasing power of the two currencies in the respective countries. Recently, India became the third largest



9th Economics U1.indd 286 04-04-2022 20:21:08